

EVALUATION OF THE INDIAN FINANCIAL SYSTEM

From the Two-Party System to the Contemporary System

How direct lending between two people grew, stage by stage, into the regulated, technology-driven financial system of India today.

A Journey Through Financial Intermediation, 1850s – 2026



Six Stages of Evolution

Each stage solved a problem left behind by the one before it — and created a new one that pushed the system forward.



The pattern to watch: at every stage, a limitation in trust, scale, risk-sharing, or reach forces a new party, institution, or regulator to enter the system — until today's multi-layered, technology-enabled structure emerges.

What a Financial System Does

At its core, a financial system exists to move money from those who have a surplus to those who need it — safely, efficiently, and at a fair price.

India's financial system did not appear overnight in this form.

It began with the simplest possible arrangement — a direct deal between two people — and grew in stages as each arrangement reached its limits.

Mobilising Savings



Collects small, scattered surpluses from households and businesses.

Allocating Capital



Channels funds to their most productive use across the economy.

Managing Risk



Pools, prices, and transfers risk between savers and borrowers.

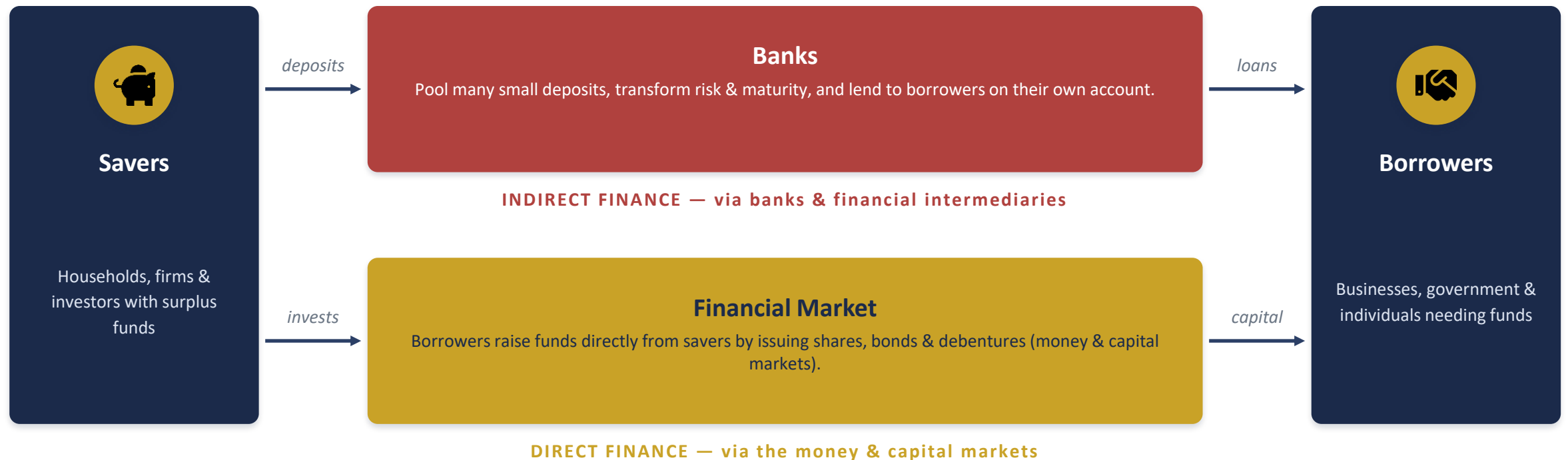
Enabling Payments



Provides a system for settling transactions between parties.

How Funds Flow: Savers, Banks, the Market & Borrowers

Every stage of this evolution feeds into one of two channels that still define the system today: funds can travel through a bank, or directly through the financial market.



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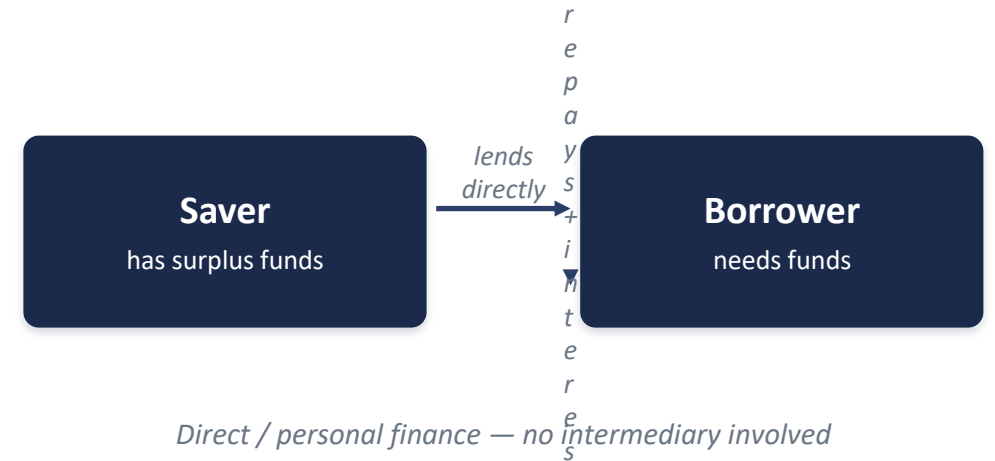
STAGE ONE

The Two-Party System

The earliest financial arrangement in India involved just two people: a saver with surplus funds, and a borrower who needed them. There was no bank, no broker, no regulator — only a direct, personal transaction, often sealed by trust, custom, or a written note (hundi).

Who did this in practice?

- Village moneylenders (sahukars) lending against land or crops
- Indigenous bankers (shroffs) using hundis as credit instruments
- Family, kinship, and community-based private lending



Historically dominant until the mid-1800s, and still common in parts of rural India for small, informal loans today.

Issues With the Two-Party System

These frictions meant most surplus funds never reached the borrowers who needed them most.

The Matching Problem



A saver had to personally find a borrower — and match the amount, tenure, and purpose — with no marketplace to bring them together.

Information Asymmetry



Savers had little way to judge a stranger's honesty or repayment ability, so lending stayed confined to known relations.

No Risk-Sharing



The saver bore the entire risk of default alone; there was no mechanism to pool or diversify that risk.

No Liquidity



Funds lent out could not easily be recalled before maturity, discouraging savers from lending at all.

Geographic Limits



Transactions were confined to a village or community; capital from surplus regions could not reach deficit regions.

Exploitative Terms



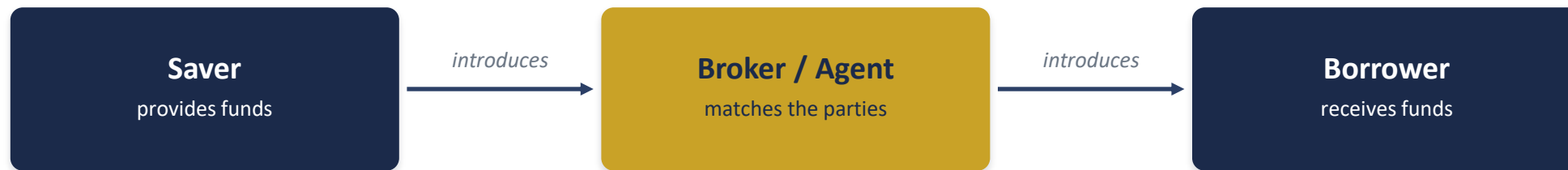
With no competition or oversight, moneylenders often charged usurious interest rates, trapping borrowers in debt.

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STAGE TWO

The Three-Party System

To solve the matching problem, a third party entered: an agent or broker who knew both sides of the market. In colonial India this role was played by managing agency houses, brokers (dalals), and indigenous bankers who introduced savers to borrowers for a fee or commission.



The broker matches the two sides but does not take the loan onto its own books

How this appeared in India

- Managing agency houses (19th–early 20th century) linked European and Indian capital to new industrial ventures
- Shroffs and brokers used hundis to connect distant lenders and traders across regions

Issues With the Three-Party System

Matchmaking widened the market, but the broker's limited role left the deeper problems of risk and scale unresolved.

Broker Bears No Risk



The agent earned a commission for the introduction but never absorbed the borrower's default risk — that stayed with the individual saver.

No Transformation of Terms



There was still no way to convert many small, short-term savings into the one large, long-term loan a borrower actually needed.

Concentration of Power



Managing agency houses often controlled the very companies they raised funds for, creating serious conflicts of interest.

Collapse of the Model



Abuses in the managing agency system led to its abolition under the Companies Act, exposing the need for a more accountable structure.

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STAGE THREE

The Four-Party / Institutional System

The decisive shift came when an institution — a bank — stepped in as a principal, not just a matchmaker. The bank borrows from many savers (as deposits) and lends to borrowers on its own account, absorbing the risk and mismatch in between. This is true ‘indirect finance.’



The bank now bears the credit, liquidity, and maturity risk itself

Milestones in India

- 1921 — Imperial Bank of India formed from the three Presidency Banks
- 1935 — Reserve Bank of India established as the central bank and regulator, completing the ‘fourth party’ role of oversight

Issues at the Institutional Stage

Banks solved risk-pooling and scale — but pre-independence banking still served only a narrow slice of India.

Urban, Not Rural



Bank branches clustered in port cities and industrial towns, leaving agriculture and rural India almost entirely outside the formal system.

Business-House Control



Many banks were owned and directed by the same industrial houses they lent to, echoing the old conflicts of the agency system.

Fragile & Failure-Prone



Hundreds of small, weakly regulated banks failed in the early 20th century, eroding public trust in the banking habit.

No Development Mandate



Commercial banks financed trade and short-term working capital, not the long-term industrial and agricultural credit the economy needed.

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STAGE FOUR — 1947 TO 1990

Development & Social Banking

After Independence, the state itself became a fifth actor in the system — nationalising institutions and directing credit to sectors the market had ignored, in pursuit of planned, equitable development.



Nationalisation

RBI nationalised (1949); 14 major banks nationalised in 1969, 6 more in 1980 — over 90% of bank deposits brought under state control.



Development Finance Institutions

IFCI (1948), ICICI (1955), IDBI (1964) and NABARD (1982) were created to fund long-term industrial and rural development.



Directed & Social Credit

Priority-sector lending targets and the Lead Bank Scheme pushed credit toward agriculture, small industry, and rural branches.



Rapid Branch Expansion

Bank branches grew from under 8,000 in 1969 to over 60,000 by 1990, taking formal banking into small towns and villages.

Issues With the Directed Banking Era

Reach expanded dramatically — but tight state control created a new set of inefficiencies by the late 1980s.

Financial Repression



Administered interest rates and very high CRR / SLR requirements left banks with little room to price risk or compete.

Weak Efficiency & Service



Public-sector banks, insulated from competition, saw declining productivity, profitability, and customer service quality.

Politicised Credit Allocation



Directed lending was sometimes driven by political priorities rather than commercial viability, weakening credit discipline.

Rising Bad Loans



Weak appraisal and recovery systems allowed non-performing assets to build up quietly across the banking system.

Underdeveloped Capital Markets



With credit administered by banks and DFIs, equity and debt markets remained thin, illiquid, and lightly regulated.

Balance-of-Payments Stress



By 1991 these inefficiencies fed into a full-blown external payments crisis, forcing fundamental reform.

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STAGE FIVE — 1991 ONWARD

Liberalisation & Market Reforms

The 1991 crisis triggered sweeping reform: interest rates and credit allocation were freed from direct state control, new regulators were empowered, and competition was deliberately introduced across every part of the system.



Banking Sector Reform

Narasimham Committee reports (1991, 1998) drove prudential norms, capital adequacy rules, and reduced SLR / CRR.



Capital Market Regulation

SEBI, set up in 1988, was given full statutory powers in 1992 to regulate and develop the securities market.



New Private Banks

Licences from 1993–94 let new private banks enter and compete directly with public-sector incumbents.



Insurance & Pensions Opened

IRDA (1999) ended the LIC/GIC monopoly; PFRDA (2003, statutory 2013) introduced the market-linked National Pension System.

Issues & Shocks After Liberalisation

A freer, more competitive system also became more exposed to fraud, cycles, and contagion — exposing gaps regulation had to keep closing.

The 1992 Securities Scam



Harshad Mehta's manipulation of the banking system to fund stock speculation exposed serious settlement and audit gaps — and led directly to SEBI's statutory powers.

The 2001 Ketan Parekh Scam



A repeat episode of price manipulation and payment-system misuse showed early reforms were still incomplete.

2008 Global Financial Crisis



Global deleveraging and capital outflows tested Indian markets and banks, though relatively conservative regulation limited the damage.

Twin Balance Sheet / NPA Crisis



Over-leveraged corporates and aggressive bank lending (mid-2000s) produced a wave of non-performing assets by 2015–18.

The IL&FS / NBFC Crisis (2018)



The default of a major infrastructure financier triggered a liquidity crunch across the fast-growing NBFC sector.

Regulatory Catch-Up



Each shock forced new safeguards — stronger disclosure, asset-quality review, and eventually a dedicated bankruptcy framework.

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STAGE SIX — TODAY

The Contemporary Indian Financial System

Today's system layers technology and financial inclusion on top of a mature regulatory structure — many institutions, many markets, and many parties operating under four specialised regulators.

REGULATORS

RBI · SEBI · IRDAI · PFRDA

INSTITUTIONS

Banks · NBFCs · Mutual Funds · Insurers · Pension Funds

MARKETS

Money · Capital · Forex · Credit

INSTRUMENTS & SERVICES REACHING SAVERS AND BORROWERS

Deposits · Loans · Equities · Bonds · UPI / Digital Payments · Insurance · NPS

Read bottom-up: instruments and services rest on markets, which operate through institutions, all overseen by dedicated regulators.

Today & Tomorrow: 2026 and Beyond

The contemporary system keeps evolving. RBI's 2026 digital-banking and governance overhaul shows the same pattern still at work — new risks in the system are prompting new rules.



Digital Banking Authorisation

From 1 Jan 2026, banks need explicit RBI approval to run internet banking, mobile-app, USSD, and SMS banking channels.



Structural Separation

Banks must separate core deposit-taking and lending from riskier group activities, with plans due by Mar 2026 and full rollout by Mar 2028.



Stronger Payment Authentication

Digital payments now require two factors, at least one dynamic (OTP/biometric) — moving away from SMS-only verification.



Fraud Protection Framework

New rules define authorised vs. fraudulent transactions and standardise compensation timelines for affected customers.



UPI & Digital Payments Scale

Real-time UPI payments now underpin day-to-day transactions nationwide, alongside Jan Dhan – Aadhaar – Mobile (JAM) based inclusion.



Insolvency & Tax Reform

The Insolvency and Bankruptcy Code (2016) and GST (2017) continue to reshape credit discipline and the ease of doing business.

From Two-Party to Contemporary: A Summary

Stage	Parties Involved	Mechanism	Key Limitation → Next Step
1. Two-Party	Saver ↔ Borrower	Direct, personal lending	No matching, trust, or risk-sharing → add an intermediary
2. Three-Party	Saver → Broker → Borrower	Agent matches the parties	Broker takes no risk, no scale → add an institution
3. Four-Party	Saver → Bank → Borrower	Deposits pooled & lent (indirect finance)	Urban bias, narrow reach → state-led expansion
4. Development Banking	State + Banks + DFIs + Borrowers	Directed, social credit	Financial repression, rising NPAs → market reform
5. Liberalised Market	Regulators + Banks + Markets	Market-priced, competitive finance	Scams & systemic shocks → stronger, wider regulation
6. Contemporary System	RBI/SEBI/IRDAI/PFRDA + Institutions + Fintech + Public	Regulated, tech-enabled, inclusive finance	Cyber & fintech risk → continuous reform (e.g. 2026 rules)

KEY TAKEAWAYS

Evolution Driven by Limitation



Every stage responds to the one before it

Two-party → three-party → institutional → developmental → liberalised → digital: each shift solved a specific failure of trust, scale, risk, or reach.



Institutions replace personal trust with structure

Banks, DFIs, and regulators let strangers transact safely at a national scale — something a purely personal system could never achieve.



Regulation is reactive, then pre-emptive

From the 1992 scam to the 2018 NBFC crisis to the 2026 digital-banking rules, oversight has consistently followed — and increasingly anticipated — new risks.



The system is still evolving

Digital payments, fintech, and financial inclusion are simply the newest 'parties' in a system that has never stopped adding layers.

Sources & Further Reading

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Prepared for academic / classroom presentation — dates and figures reflect publicly available data as of September 2026.